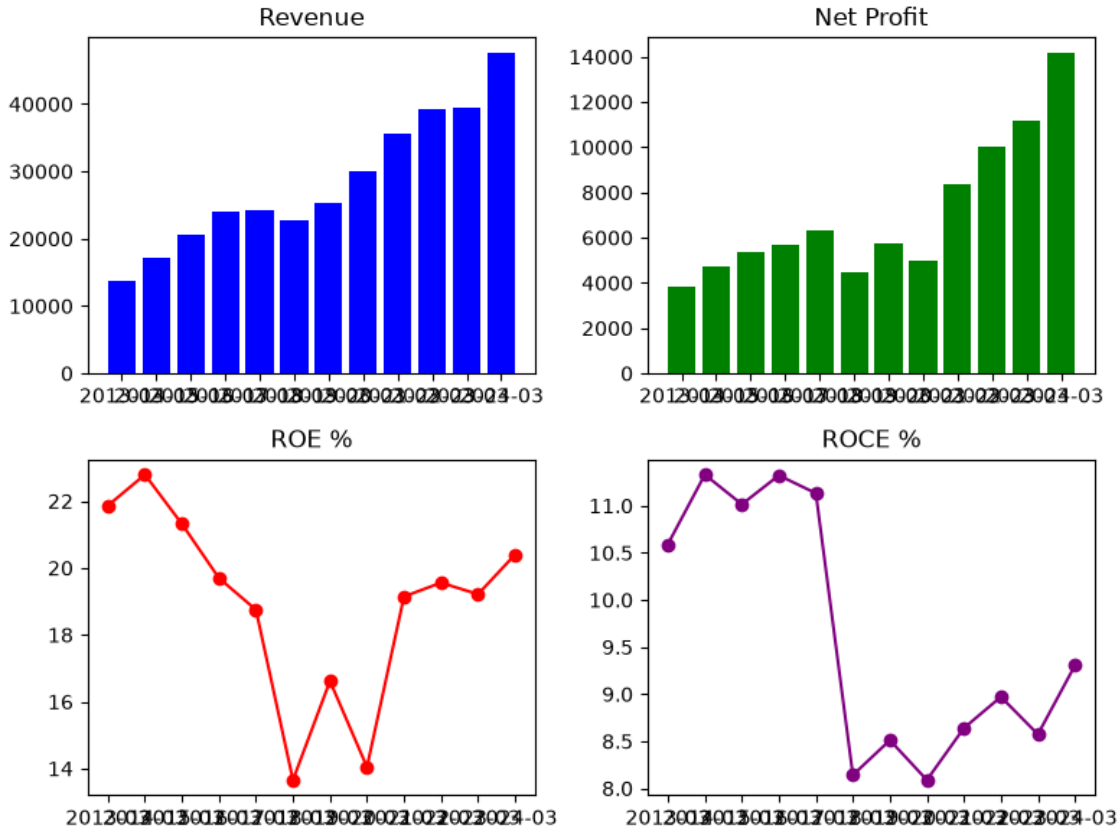
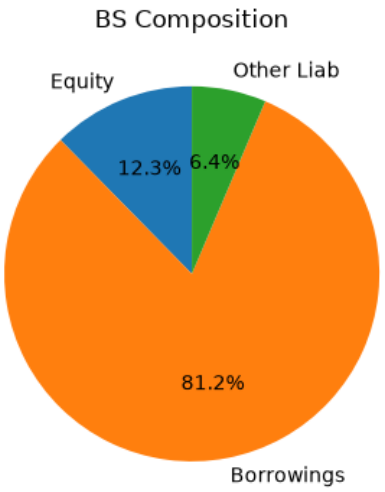
REC Ltd (RECLTD)

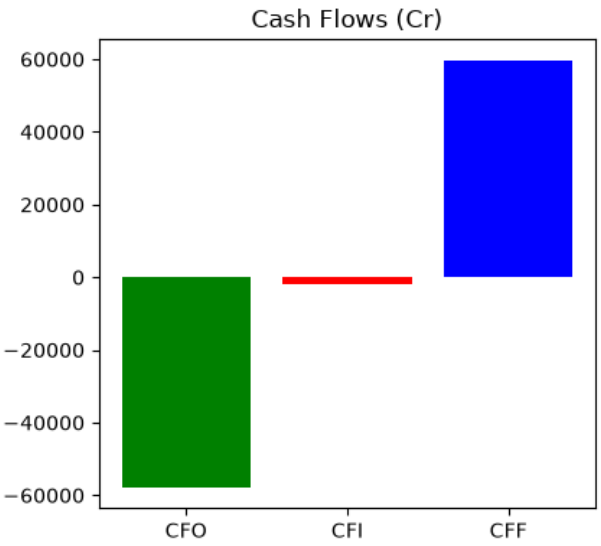
ROE	20.40%	ROCE	9.30%
D/E	6.42	OPM	100.77%
FCF	-59554 Cr	Net Profit Margin	29.77%

Performance Trends



Balance Sheet & Cash Flows





Pros & Cons

Pros: Operating profit margin above 25% indicates strong pricing power and cost discipline, Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding, Revenue growing slower than profits shows improving operating leverage and scale benefits
Cons: Debt-to-equity ratio of 6.42 is elevated for a non-financial company and warrants monitoring, Free cash flow negative for 3 consecutive years raises concern about cash generation quality, Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital, Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation Badge: Distress Signal